

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

WAY2GO CARGO CORP., *Complainant*

v.

OAK WAY CARGO, LLC, *Respondent*.

DOCKET NO. 25-14

Served: September 19, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

ORDER DENYING MOTION TO DISMISS

On July 29, 2025, the Commission issued a Notice of Filing of Complaint and Assignment (“Notice”) for this proceeding.

Respondent Oak Way Cargo, LLC, filed Respondent’s Motion to Dismiss Complainant’s Complaint (“MTD”) on August 25, 2025, along with Respondent’s Motion for Confidential Treatment (“MCT”) and an appendix of exhibits.

Complainant, Way2Go Cargo Corp., filed its Response in Opposition to Respondent’s Motion to Dismiss (“MTD Response”) on September 9, 2025.

Respondent filed Respondent’s Reply in Support of Motion to Dismiss Complainant’s Complaint (“MTD Reply”) on September 16, 2025.

For the reasons discussed herein, the MTD is **DENIED**. The MCT is **GRANTED**. Respondent is to file an answer within ten days of service of this Order. (46 C.F.R. § 502.62(b)(1)). In addition, the parties are to comply with requirements set forth in the Initial Order.

I. BACKGROUND

The Complaint alleges that the Complainant is licensed with the Commission (license no. 027779) as an ocean freight forwarder (“OFF”) and non-vessel operating common carrier (“NVOCC”). (*See* Complaint, at 1, ¶ 1).

The Complaint alleges that two of Complainant’s employees formed the Respondent entity in February 2025. (Complaint, at 3, ¶¶ 6, 8-9). Respondent allegedly had not obtained its own Commission license, though it has applied for one. (Complaint, at 3, ¶¶ 10, 13). Meanwhile, Respondent has nevertheless been acting as an ocean transportation intermediary (“OTI”) by using Complainant’s license and identity on shipping documentation, to establish a bank account, and to use a third-party shipping tool. (Complaint, at 3-4, ¶¶ 10-11, 15, 18). Respondent

allegedly stole Complainant's customers and revenues, damaged Complainant's business reputation, and caused Complainant to incur penalties with U.S. Customs and Border Patrol. (Complaint, at 4-5, ¶¶ 16-17, 19, 21-23). The Complaint has one count, which alleges a violation of 46 U.S.C. § 40901(a). (Complaint, at 6-8, ¶¶ 22-23). The Complaint demands a cease-and-desist order, as well as reparations (Complaint, at 6-7, "Wherefore" paragraph).

Respondent has a different version of alleged facts in its MTD. In general, Respondent alleges that the Complainant organization is no longer operational, and that Complainant's owner is actively trying to stymie Respondent from starting a new business. (*See generally* MTD, at 1-3). Respondent also asserts that there are already several lawsuits pending in Florida state court between these parties.

Respondent argues that the Commission should dismiss the Complaint because it has not plausibly alleged a direct injury as a result of the alleged violation of § 40901(a), because the claim alleged in the Complaint is not within the Commission's jurisdiction, and because the Complaint seeks relief that would violate the Seventh Amendment. (*See* MTD, at 4-8; *see also* MTD Reply, at 3-12). Respondent alternatively argues that this matter should be stayed pending the outcome of the state court litigation. (*See* MTD, at 9-11; MTD Reply, at 12-13). I address these arguments below.

II. LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Commission Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. (46 C.F.R. § 502.12). Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, lack of subject matter jurisdiction (12(b)(1)), lack of personal jurisdiction (12(b)(2)), and failure to state a claim (12(b)(6)). (FED. R. CIV. P. 12; *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011)).

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal case-law interpreting it." (*Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (citation omitted)). Thus:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 678] (2009).

(*Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *12 (FMC Aug. 1, 2011)). As the Commission has explained:

Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, while a complaint need not plead detailed factual allegations, the factual allegations it does include must be enough to raise a right to relief above the speculative level and to nudge . . . claims across the line from conceivable to plausible. This plausibility standard is not akin to a probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. . . . Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.

(*Cornell*, 2014 WL 5316340, at *6-7 (internal quotation marks and citations omitted); *see also Maher*, 2015 WL 9426189, at *12 (“[m]ere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’”)).

The Commission has clearly indicated that federal case law interpreting Rule 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss in Commission proceedings. (*Maher*, 2015 WL 9426189, at *6; *Cornell*, 2014 WL 5316340, at *6; *Mitsui*, 2011 WL 7144008, at *12).

III. ANALYSIS

A. Relevant Statutory Definitions

The Complaint alleges that Respondent has violated the Shipping Act by operating as an OTI without complying with the requirements of 46 U.S.C. § 40901(a). That section provides:

A person in the United States may not advertise, hold oneself out, or act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary's license issued by the Federal Maritime Commission. The Commission shall issue a license to a person that the Commission determines to be qualified by experience and character to act as an ocean transportation intermediary.

An OTI is defined to include either an OFF or an NVOCC. (46 U.S.C. § 40102(20)).

An OFF is a person that, “in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers;” and “processes the documentation or performs related activities incident to those shipments.” (46 U.S.C. § 40102(19)).

An NVOCC is defined as a common carrier that does not operate the vessels by which the ocean transportation is provided, and “is a shipper in its relationship with the ocean carrier.” (46 U.S.C § 40102(17)). In turn, a common carrier is:

a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)). A shipper is a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers’ association, or an NVOCC that accepts responsibility for payment of all charges applicable under the tariff or service contract. (46 U.S.C § 40102(23)).

Whether an entity is an OTI is a fact-intensive inquiry. (*Crocus Investments, LLC v. Marine Transportation Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299 (FMC Jul. 16, 2019); see also *Worldwide Relocations, Inc., Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 As Well As The Commission’s Regulations at 46 C.F.R. 515.13, 515.21, and 520.3*, Dkt. No. 06-01, 2012 WL 11914713, at *5 (FMC, Mar. 15, 2012)).

B. Respondent’s Arguments for Dismissal

Respondent advances three arguments as to why the Complaint should be dismissed. Respondent first argues that the Complaint should be dismissed because 46 U.S.C. § 41305 permits the Commission to award reparations for actual injury, but the Complaint does not plausibly allege that Complainant suffered damages due to Respondent allegedly being unlicensed. (MTD, at 4-6; MTD Reply, at 3-9).

Respondent’s first argument is not persuasive because a complainant need not seek reparations to file a complaint under the Shipping Act. Under 46 U.S.C. § 41301, a party can seek non-monetary relief from the Commission, such as a seek-an-desist order, even if reparations are unavailable, for example, if a claim for reparations is time-barred. (*Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, Dkt. No. 14-16, 2015 WL 5573353, * (ALJ Sept. 15, 2015) (dismissed by FMC on other grounds, April 21, 2017) (stating that: “. . . non-monetary relief may be available in a proceeding filed more than three years after the alleged Shipping Act violations occurred.”). In *Atlantic Shipping Co., Inc. v. Di Nos Shipping Inc.*, Dkt. No. 11-13, 2012 WL 11914701, at *4, *14 (ALJ Apr. 17, 2012) (notice not to review May 18, 2012), the complainant sought only a reparations award because the respondent was allegedly acting as an NVOCC without being properly licensed under § 40901. Here, in addition to seeking reparations, the Complainant seeks non-

monetary relief. (Complaint, at 7). Thus, it is not appropriate to dismiss a complaint even if it only seeks non-monetary relief.

Respondent next argues that the Commission does not have jurisdiction over the claims in the Complaint. (MTD, at 6-7; MTD Reply, at 9). This argument again is unpersuasive. In general, the Commission does not have jurisdiction over common law claims, but it does have jurisdiction over claims arising under the Shipping Act. For example, in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961 (FMC Oct. 31, 2000), the complainant, an NVOCC, alleged that the respondent carrier violated a shipping contract. (*Id.* at *2). The Commission vacated an ALJ's order denying a motion to dismiss, and remanded the matter to the ALJ. (*Id.*, at *15). The Commission noted that some of the claims in the complaint alleged breach of contract violations that are not properly before the Commission, whereas others, such as allegedly unfair practices, "are inherently related to Shipping Act prohibitions and are therefore appropriately brought before the Commission." (*Id.*, at *15). Here, the Complaint alleges that Respondent was not appropriately licensed under § 40901(a) of the Shipping Act, which is an alleged violation of the Shipping Act. (*See, e.g., Shipco Transport Inc. v. Jem Logistics, Inc.*, Dkt. No. 12-06, 2013 WL 9808677, at *10 (ALJ Mar. 26, 2013) (affirmed August 21, 2013) (finding that the respondents violated § 40901(a) of the Shipping Act by holding themselves out as NVOCCs, assuming responsibility for transportation, and using a vessel for transportation)). Therefore, Respondent's argument that the Commission lacks jurisdiction over the claim in the Complaint is not persuasive.

Respondent also argues that the Complaint essentially seeks damages arising from common-law business torts, and Respondent is entitled to a jury trial under the Seventh Amendment for such alleged damages. (MTD, at 6-8; MTD Reply, at 9-12). For support, Respondent cites *Granfinanciera, S.A. v. Nordberg*, 492 U.S. 33, 36 (1989), where the Supreme Court held that a person who did not file a claim in a bankruptcy proceeding was entitled to a jury trial when a bankruptcy trustee sued to recover an allegedly fraudulent transfer. The Court concluded that the bankruptcy trustee's claim for recovery was a legal claim (as opposed to an equitable claim), giving a right to a jury trial under the Seventh Amendment. (*Id.*, at 40-49). Respondent argues that the monetary relief Complainant seeks is legal in nature, and therefore should go to a jury. (MTD, at 8; MTD Reply, at 9).¹

I am not persuaded by this argument. The Shipping Act "broadly allows the recovery of reparations" for an injury caused by a Shipping Act violation. (*MSC Mediterranean Shipping Co., S.A. v. Fed. Maritime Comm'n*, 141 F.4th 222, 232 (D.C. Cir. 2025)). Complainant here alleges a violation of the Shipping Act. Therefore, because the allegations in the Complaint do

¹ As I understand Respondent's argument, it is not questioning the Commission's authority under the Constitution to award reparations for a Shipping Act violation without a jury trial. To the extent Respondent is, I decline to address such an argument. (*DSW Int'l, Inc. v. Commonwealth Shipping, Inc.*, Dkt. No. 1898(F), 2012 WL 11914710, at *6 (FMC Jul. 23, 2012) (quotations omitted) ("No administrative tribunal of the United States has the authority to declare unconstitutional the Act which it is called upon to administer.")).

not threaten Respondent's right to a jury trial, it is inappropriate to dismiss the Complaint on that basis.²

I conclude that none of the arguments for why the Complaint should be dismissed are persuasive.

C. Respondent's Argument To Stay This Proceeding

Respondent argues that this matter should be stayed while related state court litigation is ongoing. (MTD, at 9-11). Respondent points to the ALJ decision in *General Motors, LLC v. Nippon Kabushiki Kaisha*, Dkt. No. 15-08, 2016 WL 240785 (ALJ Jan. 5, 2016) (settlement approved Oct. 14, 2016), which identified the following factors to evaluate when considering whether to stay a federal proceeding pending the outcome of a state court matter:

[W]hich court first assumed jurisdiction, the inconvenience of the federal forum, the desirability of avoiding piecemeal litigation, whether state or federal law provides the rule of decision on the merits, the adequacy of the state court to protect the parties' rights, and whether one of the actions has a vexations or reactive nature.

(*General Motors*, 2016 WL 240785 (citations omitted)). Respondent asserts that this matter, which was filed by a vexatious litigant, and related state court cases, which were filed before this matter, all arise out of the same set of facts and involve matters of state law. (MTD, at 9-11; MTD Reply, at 12-13). For support, Complainant attaches copies of complaints that appear to have been filed in state court earlier in 2025 and involve some of the same individuals identified in the present Complaint.³ (*See* MTD, Exs. D & E).

"The Commission may grant a request to stay a proceeding, however, the party seeking a stay has the burden to demonstrate the need for the stay." (*Hubbell Inc. v. DSV Air & Sea, Inc.*, Dkt. 23-09, 2023 WL 6554517, at *1 (ALJ Oct. 5, 2023) (settlement approved Feb. 16, 2024)). In deciding such a motion, an ALJ should consider the "economy of time and effort for itself, for counsel, and for litigants." (*Id.*, at *1 (quoting *Landis v. N. American Co.*, 299 U.S. 248, 254

² Assuming Complainant demonstrates that Respondent violated § 40901(a) of the Shipping Act, that alone does not entitle Complainant to reparations. Complainant must prove that the violation resulted in it suffering pecuniary loss. (*MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022)).

³ "In general, if the Court relies on materials other than those permitted to be considered on motion to dismiss—namely, the facts alleged in the complaint, documents attached as exhibits or incorporated by reference, documents upon which the plaintiff's complaint necessarily relies, and facts of which the Court may take judicial notice—it converts the motion to one for summary judgment." (*Vasser v. McDonald*, 228 F. Supp. 3d 1, 9 (D.D.C. 2016) (citations and quotations omitted)). In this portion of its MTD, Respondent asks for a stay, not a dismissal, therefore I may consider the exhibits. I may also take official notice (46 C.F.R. § 502.226(a)) of publicly filed complaints.

(1936))). The ALJ in *Hubbell* declined to stay a proceeding, noting, among other things, that related contract litigation did not affect whether the Shipping Act was violated. (*Id.*, at *3).

Here, considering the factors, I appreciate that the related state court litigation was filed first. But the state court litigation cannot resolve the alleged Shipping Act violation, which is exclusively committed to the jurisdiction of the Commission. (*Seawinds Ltd. v. Nedlloyd Lines, B.V.*, 80 B.R. 181, 184 (N.D. Cal. 1987) (*aff'd* 846 F.2d 586 (9th Cir. 1988))). In addition, the Commission required this matter to be resolved within a year of the service of the Complaint. (*See* Notice, at 2). Moreover, neither party argues that the Commission is an inconvenient forum. Finally, whether Complainant is acting vexatiously is not a matter that I can decide at this stage in the case.

In short, although there is related state court litigation already ongoing, it cannot resolve the alleged Shipping Act violation, which must be resolved within a year, and which neither party argues would otherwise be inconvenient or burdensome. Given that the burden is on the party seeking a stay (*Hubbell*, 2023 WL 6554517, at *1; 5 U.S.C. § 556(d)), I find that Respondent has not demonstrated the need for a stay.

D. Conclusion

For the reasons, Respondent's MTD is **DENIED**.

IV. MOTION FOR CONFIDENTIAL TREATMENT

Along with its MTD, Respondent filed its MCT on August 25, 2025. It seeks confidential treatment of a contract and two complaints that are under seal in a state court action. Complainant did not file a response to the MCT, nor the Complainant address the MCT in its MTD Response.

The Initial Order provided detailed information about filing confidential material. The Initial Order provided that if confidential information is filed, a "motion justifying confidential treatment" that showed "good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information" is required. (Initial Order, at 7 (citing 46 C.F.R. § 502.141(j)(1))). The Initial Order also indicated that the confidential information should be clearly and conspicuously marked in the confidential version of the filings and blacked out in the public version. (Initial Order, at 7-8). Commission Rule 5 states that: "Confidential information in exhibits should be marked as specified above. If marking within the text is not feasible, individual pages may be replaced in the public version with a page indicating that confidential material is excluded. Entire exhibits should not be excluded, only those pages containing confidential material." (46 C.F.R. § 502.5(a)(2)(iii) (emphasis added)).

Here, Respondent seeks confidential treatment of materials filed under seal in a state court action, as well as a contract. The MCT complies with the Initial Order and Commission Rule 5, and I am satisfied that Respondent has demonstrated that the material should be afforded confidential treatment. The MCT is **GRANTED**.

V. CONCLUSION

For the reasons discussed above, it is **HEREBY ORDERED** that the MTD is **DENIED**.
It is

FURTHER ORDERED that the MCT is GRANTED. It is

FURTHER ORDERED that Respondent shall file an answer within ten days of service of this Order. It is

FURTHER ORDERED that the parties shall comply with the requirements set forth in the Initial Order.

Richard C.
Ambrow Jr -S

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Richard C. Ambrow Jr -S
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Richard Ambrow
Administrative Law Judge